MAHATMA GANDHI UNIVERSITY

MODEL QUESTION PAPER

B Com. UGP Honours Examination (2024 Admission onwards)

Third Semester

MG3DSCCOM200 **FINANCIAL ACCOUNTING-** DSC A

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Time : 2 Hours Maximum: 70 Marks

Section A

(Very Short Questions)

Answer any 12 out of 14 questions. Each question carries 1 Marks

1. The principle of recording all expenses related to the same period's revenue is called the _____ concept. (Understand)(CO1)
2. Name any one fundamental accounting assumptions recognized under AS1 . (Understand)(CO1)
3. Which class of assets is exhausted as they are used up in the process of earning revenue? (Understand)(CO1)
4. Write the journal entry for interest on capital? (Understand)(CO1)
5. The practice of treating each department as a separate profit centre is known as _____.(Understand)(CO2)
6. Selling expense is apportioned among department, based on----------(Understand)(CO2)
7. Goods are transferred from Department X to Department Y at a gross profit margin of 25% on cost. Closing stock of Department Y includes Rs.40,000 worth of goods. Calculate unrealised profit. (Apply)(CO2)
8. Based on autonomy branches are classified into ---- and ------(Understand)(CO3)
9. Name the account used for adjusting the loading in opening stock, closing stock, goods sent, and goods returned in branch accounting. (Understand)(CO3)
10. Give the journal entry to record the transfer of goods worth Rs : 80000/- from head office to the branch in the stock and debtors system. (Understand)(CO3)
11. Cash in transit is treated as _____ in the Consolidated Balance Sheet.(Understand)(CO3)
12. The difference between Minimum Rent and Actual Royalty, when Minimum Rent is higher, is called _____.(Understand)(CO4)
13. What entry is made when royalty is received by cheque?(Understand)(CO4)

14. A mining lease has minimum rent of ₹70,000 per year and royalty at ₹8 per tonne. If 10,000 tonnes were extracted, calculate the total amount payable to the lessor.(Apply)(CO4)

12*1=12

Section B

(Short Answer)

Answer any 4 out of 6 questions. Each question carries 7 Marks

15. Explain the procedure adopted by ASB in formulating Accounting Standards in India.(Understand)(CO1)
16. Under the Stock and Debtors System, which accounts are prepared in Head Office books? Present the format of any three of them.(Understand)(CO3)
17. Following relate to the books of a trader as on 31st December ,20xx

Opening Stock	12,000
Purchases	36,000
Sales	92,000
Sales returns	2,000
Purchase returns	3,000
Wages	4,000
Carriage inwards	2,500
Carriage outwards	2,000
Power and fuel	1,400
Trade Expenses	500
Manufacturing expenses	1,600
Closing Stock	15,000

Prepare Trading Account.(Apply)(CO1)

18. Goods are transferred from Dept. A to Dept. B at selling price. Usually stocks of Dept. B consist of 75% of goods received from Dept. A and balance 25% other expenses. The following information is available: Gross Profit (G.P)Ratio of Dept. A : 20% : on Sales. Opening stock of Dept. B : ₹ 40,000 Closing stock of Dept. B : ₹ 90,000

    a) Compute the profit included in the stocks of Department. B

    b) Pass the adjusting journal entry for stock reserve.

    c)Show how it will be disclosed in the Balance Sheet. .(Apply)(CO2)

19. Give adjusting entries in the books of Head Office for the following. The Head Office closes its books on 31st December.

    1. Goods sent by Head Office to Agra Branch on 26th December, but reached Agra only on 8th January 6,000.

    2. Cheque sent by Agra Branch to Head Office for ₹ 12,000 on 28th December but the same is received by Head Office only 15 days later.

    3. Agra Branch paid₹2,000 to Head Office Official as part of salary.

4. Goods purchased by Agra Branch but payment for the same made by Head Office 9,000. .(Apply)(CO3)

20. M/s Sunrise Ltd. took a mine on lease from a landlord on the following terms:

Royalty payable @ ₹6 per ton of coal raised.

Minimum Rent: ₹50,000 in the 1st year, ₹60,000 in the 2nd year, and ₹70,000 per year thereafter. Short workings are recoupable within the next 2 years.

The output during the first five years was: 5,000 tons, 8,000 tons, 12,000 tons, 10,000 tons and 15,000 tons . Prepare a Royalty Analysis Table.(Apply)(CO4)

4*7=28

Section C

(Essay Questions)

Answer any 2 out of 3 questions. Each question carries 15 Marks

21.The following balances extracted from the books of Sonu Stores as on 31st December ,20xx

Particulars	Dr. (₹)	Cr. (₹)
Printing and stationery	6,000	
Sales		290000
Opening stock	44,000	
Purchases	180000	
Investments	10,000	
Furniture	30,000	
Bad debts	6,000	
Provision for bad debts		7,000
Salaries	30,000	
Carriage inwards	10,000	
Rent	19,000	
Debtors and creditors	90,000	50,000
Cash in hand	4,000	
Goodwill	11,000	
General expenses	7,000	
Capital		100000
	447000	447000

Adjustments :

1) Closing stock ₹ 47,000
2) Depreciate furniture by 10%
3) Reduce provision for bad debts to ₹ 2,000
4) Goods costing ₹ 2,000 were lost by fire on 30th Dec. 20xx for which nothing is recoverable from insurance company
5) Manager is entitled to get a commission of 10% of net profit.
6) It is found that the opening stock is over cast by 10%. Prepare final accounts .(Apply)(CO1,CO5)

22. A head office in Chennai has a Branch in Delhi to which goods are invoiced by the head office at cost plus 25%. All cash received by the branch is daily remitted to head office .from the following particulars , show how the branch account will appear in the H.O books . entries are to be made at invoice price .

Stock on January 1 , 2016 (at invoice price)		62,500
Debtors on 1-1-2016		60,000
Goods supplied by the H. O. (at invoice price)		2,00,000
Cash sales		80,000
Cash received from customers		1,47,500
Goods returned to the head office (at invoice price)		12,000
Cheque received from the H .O. :		
Wages & Salaries	55,000	
Rent , rates & Taxes	15,000	
Sundry expenses	2,550	72,550
Stock on 31-12-2016(at invoice price)		75,000
Debtors on 31-12-2016		1,12,500
Liability for petty expenses		550 .(Apply)(CO3,CO5)

23. Arjun obtained a lease for a period of 30 years beginning from 1st January, 20xxon the following terms:

a) To pay minimum rent of Rs 24000 per year
b) Each year's excess of minimum rent over the actual royalties can be recovered during the subsequent two years.
c) Due to accident or strike minimum rent is to be reduced by 25% for that year.
d) Royalty was to be calculated at Rs 50 per ton
e) Production during four years from 20xx to 20xx was as follows:

Year	Production in tons
20xx	280
20xx	360
20xx	600
20xx (strike for 3 months)	440

Open the following accounts in the books of Arjun i) Minimum rent A/c ii) Short workings A/c iii) Landlord's A/c .(Apply)(CO4,CO5)

2*15=30